EXECUTIVE SUMMARY

1. Introduction

The Municipality of Claveria, Cagayan was created by virtue of Royal Decree of Spain on June 5, 1865. It is a third class municipality situated on the northwestern coast of the Province of Cagayan.

The audit covered the accounts and operations of the Municipal Government of Claveria, Cagayan for the year 2016 and was aimed at determining whether management presented fairly the financial statements of the municipality in adherence to the generally accepted accounting principles; whether prevailing laws, rules and regulations have been complied with; and funds were utilized in the most efficient, effective and economical manner. Financial and compliance audits were conducted to achieve these audit objectives.

2. Financial Highlights

The highlights of the financial condition, results of operation, appropriations, allotments and obligations of the Municipality of Claveria for the year ended December 31, 2016, with comparative figures for CY 2015, are as follows:

	2016	2015	Increase (Decrease)
Financial Condition			
Total Assets	P196,994,225.49	129,363,174.67	P 67,631,050.82
Total Liabilities	54,880,783.70	34,197,045.97	20,683,737.73
Total Government Equity	142,113,441.79	95,166,128.70	46,947,313.09
Results of Operation			
Total Income	P107,334,844.63	97,047,048.94	P 10,287,795.69
Total Expenses	82,883,313.46	62,352,335.13	20,530,978.33
Appropriations, Allotments and Obligations			
Appropriations	P165,488,904.16	125,273,932.16	P 40,214,972.00
Allotments	165,488,904.16	125,273,932.16	40,214,972.00
Obligations	101,476,329.75	74,839,458.44	26,636,871.31

Comparative Statement of Funds Transfer to and from NGA's, NGO's and PO's.

	2016	2015	Increase/(Decrease)
Fund Transferred to Other Agencies:			
Due from NGAs	P 0.00	P 0.00	P 0.00
Due from GOCCs	0.00	0.00	0.00
Due from LGUs	0.00	0.00	0.00
Due from NGOs/Pos	0.00	0.00	0.00
TOTAL	P 0.00	P 0.00	P 0.00
Fund Received from Other Agencies:			
Due to Other NGAs	P 22,079,000.00	P 6,058,257.97	P 16,020,742.03
Due to LGUs	0.00	2,847,908.20	(2,847,908.20)
Due to NGOs/Pos	0.00	0.00	0.00
TOTAL	**P 22,079,000.00**	**P 8,906,166.17**	**P 13,172,833.83**

3. Independent Auditor's Report on the Financial Statements

The auditor rendered a qualified opinion on the presentation of the financial statements of the Municipality of Claveria, Cagayan as of December 31, 2016 due to (a) the validity, existence and correctness of the Property, Plant and Equipment accounts with net book value amounting to P69,954,264.18 as of December 31, 2016 could not be ascertained due to failure of the agency to conduct annual physical inventory of properties as of year-end; and (b) misclassification and/ or erroneous recording of transactions amounting to P10,780,581.47 resulted to the overstatement of expenses, hence, the asset and equity accounts were understated with the same amount as of December 31, 2016.

4. Summary of Significant Findings and Recommendations

The audit team noted the following audit observations with its recommendations to improve the performance and financial operations of the municipality;

1. **The validity, existence and correctness of the Property, Plant and Equipment accounts with net book value amounting to P69, 954,264.18 as of December 31, 2016 could not be ascertained due to failure of the agency to conduct annual physical inventory of properties as of year-end which is contrary to Section 156 of COA Circular No. 92-386.**

   We recommended that the Local Chief Executive create a committee to conduct physical inventory of the properties of the municipality and to prepare a report thereon to be submitted to the Municipal Accountant for reconciliation with that of the accounting records. Submit the same to the auditor concerned pursuant to

COA Circular No. 92-386 dated October 20, 1992 and Section 122 of P. D. 1445, for proper review and verification.

2. **Misclassification or erroneous recording of transactions amounting to P10,780,581.47 resulted to the overstatement of expenses, hence, the asset and equity accounts were understated with the same amount as of December 31, 2016.**

   We recommended that the Municipal Accountant effect the necessary adjustments to reflect the correct presentation of accounts in the financial statements.

3. **Multiple cash advances were granted to the Disbursing Officer, hence allowing the handling of huge amounts of cash for payment of payroll which could lead to possible loss, misuse and misappropriation and may also result to delay in the liquidation thereof.**

   We recommended that the Municipal Government adopt a system of payroll payment through the Automated Teller Machine (ATMs) of banks which would result to:

   a. Convenience on the part of the Management since payroll payments are distributed from the payroll account maintained in an authorized government depository bank to the individual accounts of the employees;

   b. Convenience on the part of the employees since payrolls can be withdrawn anytime in ATM during their free time and which was located near the Municipal Hall;

   c. Decreases, if not eliminates, the risk of loss or misapplication of funds;

   d. Reduces cash advances handled by the Disbursing Officer;

   e. On time liquidation of cash advances.

4. **Loans granted to RISES and PNPL beneficiaries totaling P438,439.00 had remained uncollected as of year-end thus, affecting the effectiveness, sustainability and objective of the programs.**

   Lack of control on the receipt and disposition of agricultural supplies purchased for Rice Intensification for Self Sufficiency and Economic Sustainability (RISES)/Plant Now Pay Later (PNPL) Program of the Municipality resulted to an unreconciled difference in the recorded Loans Receivable in the concerned departments amounting to P847, 417.00 as of December 31, 2016, hence, may result to lost or wastage of government funds.

We recommended that:

a. The Municipal Accountant to record the balance of previous year's loan granted to farmer beneficiaries amounting to P438, 439.00 as Loans Receivable-Others to monitor the collection thereof.

b. Management install effective and efficient control procedures in the identification of active farmer borrowers. Closely monitor the utilization of the loans to ensure sustainability and the effectiveness of the programs as perceived.

c. The Municipal Accountant and the Municipal Agricultural Office reconcile the recorded difference in outstanding loans receivable on the loans granted to farmer beneficiaries amounting to P847, 417.00.

d. Management strengthen the existing system of control on the delivery, receipt and issuance of procured agricultural supplies for loans to qualified farmer beneficiaries to ensure maximum and efficient utilization of government resources and safeguarded from possible loss through theft or misappropriation.

5. Audit disallowances totaling to P915, 600.00 were not recorded in the books of accounts after the Notices of Finality of Decision (NFD) were issued contrary to Section 22.6 of COA Circular No. 2009-006 dated September 15, 2009, hence, settlement of these accounts may not be properly monitored.

We recommended that the Municipal Accountant record immediately the audit disallowances totaling to P915,600.00 as receivable in accordance with the provisions of COA Circular No. 2009-006 dated September 15, 2009.

5. Summary of Total Suspensions, Disallowances and Charges as of year-end

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions					
Prior Years	0.00	0.00	0.00	0.00	0.00%
Current Year	0.00	0.00	0.00	0.00	0.00%
Total	0.00	0.00	0.00	0.00	0.00%
Disallowances					
Prior Years	1,373,590.00	0.00	666,654.39	706,935.61	48.53%
Current Year	0.00	23,428.44	23,428.44	0.00	100%
Total	0.00	0.00	0.00	0.00	0.00%
Charges					
Prior Years	0.00	0.00	0.00	0.00	0.00%
Current Year	0.00	0.00	0.00	0.00	0.00%
Total	0.00	0.00	0.00	0.00	0.00%

6. Status of Implementations of Prior Years' Audit Recommendations

Out of fifteen (15) audit recommendations embodied in the 2015 Annual Audit Report, ten (10) were fully implemented, one (1) was partially implemented and four (4) were not implemented. The Status of Implementation of Prior Year's Audit Recommendations is shown in Part III of this report.